

world standards in technology and manufacturing capabilities.

N.K. Goyal, president of Communications & Manufacturing Association of India (CMAI), adds to the list issues like comparatively no availability of financial assistance, disharmony between centre and state government policies, absence of sustained government policy, reluctance of states to come forward with more progressive and industrial policies, and red tapism.

Government's role so far

Central government's policies are good and conducive to the growth of the electronics industry, but the action lies in implementation of policies and state-level interventions, says N.K. Goyal.

Considerable efforts have been made by the government in recent years

Rajoo Goel feels that the policy needs aggressive changes to incentivise high-value-addition manufacturing and demand generation. This is the only way to attract major investments in high-value-added manufacturing which are required to put the industry back on track.

Recommendations to the government

Customs duty. As mentioned earlier, there is customs duty on dual-use items, which are inputs for zero-duty items.

There should be no inverted duty for manufacturing of any electronic product. Customs duty on all the inputs for manufacture of electronics /IT hardware products should be reduced to nil.

In a zero-duty regime, there is no place for customs duty on inputs. ITA

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—Rajoo Goel, secretary general, ELCINA Electronic Industries Association



to resolve intractable policy issues. However, the policy for electronics manufacturing has got entangled in a web of complex one-off changes made on *ad hoc* basis in the hope that these would solve our chronic problems. This has resulted in a very complicated policy dispensation which does not lend itself to an easy solution.

No doubt, recent policy changes and facilities provided by some state governments (such as Tamil Nadu) have resulted in increased investments in equipment manufacturing. However, these are limited to low-value-addition assembly activity.

Short-term revenue has been the overriding concern of the government, which has prevented it from taking tough decisions to tackle the issue comprehensively.

products and their inputs have been brought to zero duty. However, dual-use materials like rubber parts, cables, copper, steel and plastics are subjected to varying rates of customs duty. ELCINA believes that zero duty is an unfavourable policy dispensation, especially in a country like India where value-added manufacturing suffers from high input costs (energy, finance and cascading taxes) and infrastructure issues. Thus input duties should be nil for all ITA goods as well as electronic components and assemblies which are industrial inputs for electronic equipment.

As a policy, the customs duty on raw material should be nil or the minimum. The intermediate products or sub-assemblies should attract a higher duty than components and the finished products should be at the



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